

Survey of Econ 2018 Final (Ch 1-14)

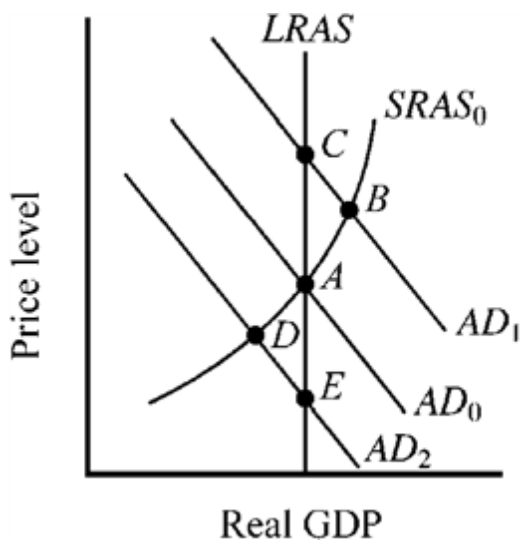
Indicate the answer choice that best completes the statement or answers the question.

1. When the expenditure approach is used to measure GDP, the major components of GDP are
 - a. consumption, investment, indirect business taxes, and depreciation.
 - b. employee compensation, rents, interest, self-employment income, and corporate profits.
 - c. employee compensation, corporate profits, depreciation, and indirect business taxes.
 - d. consumption, investment, government consumption and gross investment, and net exports.
2. "Now that Terrance paints the broad surfaces and I do the trim work, we can paint a house in three-fourths the time that it took for each of us to do both." This statement most clearly reflects
 - a. the importance of secondary effects.
 - b. the fallacy of composition.
 - c. the law of comparative advantage.
 - d. behavior inconsistent with economizing.
3. Automatic stabilizers will shift the government budget toward
 - a. a surplus during both expansions and contractions.
 - b. a deficit during both expansions and contractions.
 - c. a surplus during an expansion and a deficit during a contraction.
 - d. a surplus during a contraction and a deficit during an expansion.
4. Which of the following will reduce the supply of motorcycles?
 - a. an increase in the population age 16 to 35, the primary consumers of motorcycles
 - b. an increase in taxes imposed on motorcycle producers
 - c. a technological improvement reducing the production costs of motorcycles
 - d. a government study that reveals motorcycle riders, on average, live 10 years longer than those who don't ride motorcycles
5. Which of the following would increase the price of fitness equipment?
 - a. a reduction in consumer income
 - b. a major study indicating that a 30-minute workout each day improved health more than was previously thought to be the case
 - c. a decrease in the price of steel used to produce the equipment
 - d. all of the above
6. The main reason that the deficit grows in a recession is that
 - a. the government reacts quickly and adjusts taxes to compensate.
 - b. monetary policy that targets interest rates causes the costs of borrowing to fall.
 - c. the deficit causes the recession, and reducing the deficit cures the recession.
 - d. many forms of taxes act as automatic stabilizers.
7. Politicians often instruct households to spend in order to help the economy. This advice overlooks the fact that
 - a. increases in consumption will make it easier for households to deal with unanticipated future expenses.
 - b. increases in consumption will provide more loanable funds for investment.
 - c. you cannot have a strong economy if all or most households are spending just about everything they earn.

Survey of Econ 2018 Final (Ch 1-14)

- d. consumer spending is less than two-thirds of GDP.
8. Over time, GDP may increase as the result of either (i) expansion in the quantities of goods produced or (ii) higher prices. Which of the following is true?
- (i) will generally increase living standards, but (ii) will not.
 - (ii) will generally increase living standards, but (i) will not.
 - Both (i) and (ii) will generally increase living standards.
 - Neither (i) nor (ii) will generally increase living standards.
9. Money is
- whatever is generally accepted in exchange for goods and services.
 - an object to be consumed.
 - a highly illiquid asset.
 - widely used in a barter economy.
10. Gross domestic product
- is the sum of all exchanges of goods and services during a period.
 - includes financial transactions such as the purchase of stocks or bonds traded during a period.
 - is the sum of expenditures for both intermediate and final user goods.
 - is the sum of the total spending on all final-user goods and services produced domestically during a period.

Figure 10-3



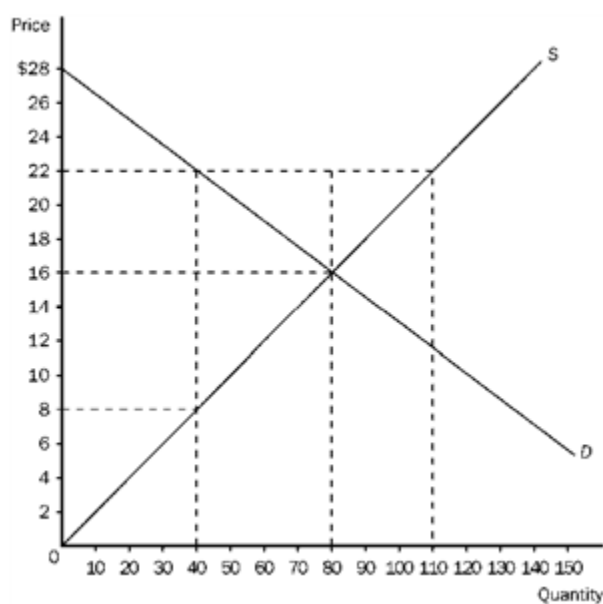
11. Starting from long-run equilibrium at point A in Figure 10-3, at which of the following points would short-run equilibrium occur immediately following an unanticipated increase in stock prices?
- A
 - B
 - C
 - D

12. If a local shop buys a used motorcycle for \$1,000, makes repairs and refurbishes it, then resells it for \$2,500, the

Survey of Econ 2018 Final (Ch 1-14)

- a. shop contributes value added equal to \$1,500, but nothing is added to GDP.
 - b. shop contributes value added equal to \$1,500, and consequently \$1,500 is added to GDP.
 - c. shop contributes nothing to production because only existing goods are involved.
 - d. shop contributes value added equal to \$2,500, but only \$1,500 is added to GDP.
13. Which of the following would reduce the supply of baseball hats?
- a. An increase in the demand for baseball hats.
 - b. A new tax imposed on the producers of baseball hats.
 - c. A reduction in the price of cloth used to make baseball hats.
 - d. All of the above.
14. After a natural disaster, such as a hurricane, the increased demand for certain items (like lumber, electric generators, and chainsaws) causes their prices to rise. These higher prices
- a. discourage the flow of these items into the area.
 - b. encourage consumers to purchase the items even if they do not plan to use them.
 - c. help to direct the items toward their highest valued uses.
 - d. do all of the above.
15. If a country has attracted a relatively large number of foreign workers and a large amount of foreign investment,
- a. national income will generally exceed gross national product.
 - b. gross national product will generally exceed gross domestic product.
 - c. net domestic product will generally exceed gross domestic product.
 - d. gross domestic product will generally exceed gross national product.

Figure 3-20



16. Refer to Figure 3-20. At the equilibrium price, producer surplus is
- a. \$480.
 - b. \$640.

Survey of Econ 2018 Final (Ch 1-14)

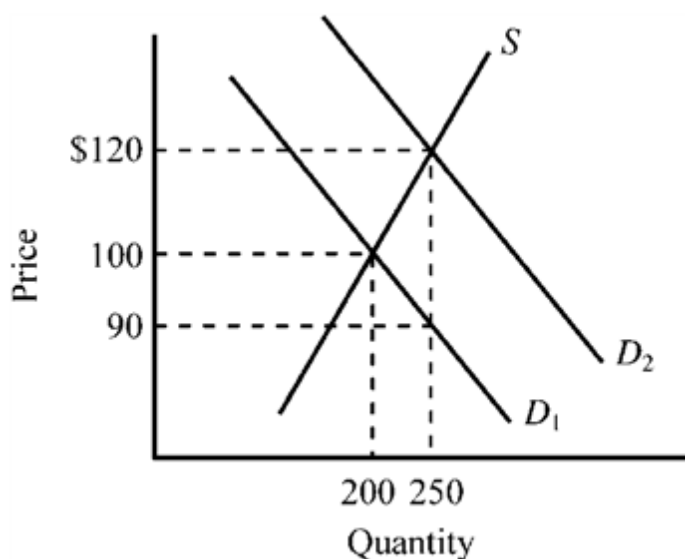
- c. \$1,120.
 - d. \$1,280.
17. If the dollar price of the English pound goes from \$1.50 to \$1.20, the dollar has
- a. appreciated, and Americans will find English goods cheaper.
 - b. appreciated, and Americans will find English goods more expensive.
 - c. depreciated, and Americans will find English goods cheaper.
 - d. depreciated, and Americans will find English goods more expensive.
18. A substantial decrease in marginal tax rates will encourage individuals to
- a. increase their earnings and work effort.
 - b. save a smaller portion of their income.
 - c. take more time off for vacations.
 - d. spend more on tax-deductible items.
19. Because GDP does *not* fully account for improvements in the quality of goods,
- a. the inflation rate is understated and real GDP is overstated.
 - b. the inflation rate is overstated and real GDP is understated.
 - c. both the inflation rate and real GDP are overstated.
 - d. both the inflation rate and real GDP are understated.
20. Which of the following will cause the U.S. money supply to expand?
- a. A commercial bank uses excess reserves to extend a loan to a customer.
 - b. A commercial bank purchases U.S. securities from the Fed as an investment.
 - c. An increase in reserve requirements.
 - d. An increase in the discount rate.
21. Which of the following increases the political power of special interest groups and makes counterproductive government action more likely?
- a. logrolling and pork barrel legislation
 - b. the rational-ignorance effect
 - c. public goods
 - d. both a and b, but not c
22. During 2001-2012, the federal budget deficit
- a. expanded and real government spending increased rapidly, indicating that fiscal policy was restrictive.
 - b. expanded and real government spending increased rapidly, indicating that fiscal policy was expansionary.
 - c. declined and real government spending fell, indicating that fiscal policy was restrictive.
 - d. declined and real government spending fell, indicating that fiscal policy was expansionary.
23. During the crisis of 2008 housing prices _____ and stock prices _____. (Fill in the blank)
- a. rose sharply; fell sharply
 - b. fell sharply; rose sharply
 - c. fell sharply; fell sharply

Survey of Econ 2018 Final (Ch 1-14)

- d. rose sharply; rose sharply
24. Other things constant, a decrease in consumer income will
- decrease the demand for large-screen television sets.
 - increase the demand for large-screen television sets.
 - cause a movement along the demand curve for large-screen television sets, but it will not shift the demand curve.
 - have no impact on the quantity demanded or the demand curve for large-screen television sets.
25. Noah values his car at \$10,000, and Emily values it at \$14,000. If Emily buys it from Noah for \$11,000, which of the following is true?
- Noah gains \$1,000 of value, and Emily gains \$3,000 of value.
 - Noah gains \$11,000 of value, and Emily loses \$11,000 of value.
 - Noah gains \$10,000 of value, and Emily loses \$14,000 of value.
 - Noah and Emily both gain \$11,000 of value.

Use the figure below to answer the following question(s).

Figure 4-12

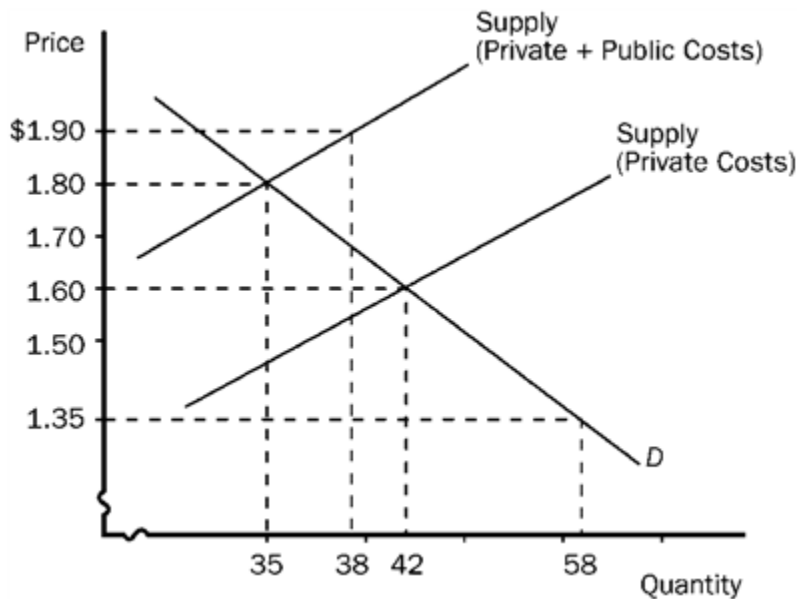


26. Refer to Figure 4-12. The exhibit illustrates the impact of granting a subsidy on a particular good. Which of the following is true for this subsidy given the information provided in the exhibit?
- The subsidy has been statutorily (legally) paid to buyers.
 - The subsidy results in an increase in the selling price of the good.
 - Sellers will receive a larger proportion of the benefit from this subsidy than buyers.
 - All of the above are true.
27. If political officials want to minimize the excess burden accompanying a tax, they should set the tax at a rate
- that will maximize the revenue derived from the tax.
 - slightly above the rate that will maximize the revenue derived from the tax.
 - well below the rate that will maximize the revenue derived from the tax.

Survey of Econ 2018 Final (Ch 1-14)

d. that is the highest that could possibly be imposed.

Figure 5-4



28. Refer to Figure 5-4. The figure illustrates an industry that generates
- external benefits.
 - external costs.
 - no externalities.
 - economies of scale.
29. Your brother graduated from college 10 years ago and started to work at a salary of \$20,000. You expect to graduate this year and start to work for \$35,000. If the consumer price index was 80 ten years ago and is 120 this year, who will have received the higher real starting salary?
- You will have.
 - Your brother did.
 - You and your brother both will have started at the same real salary level.
 - Not enough information is supplied to answer the question.
30. If a reduction in stock prices reduces the real wealth of Americans, the
- aggregate demand curve will shift to the left.
 - long-run aggregate supply will shift to the left.
 - general price level will increase.
 - aggregate demand curve will shift to the right.
31. Market prices provide information to consumers, helping them coordinate their activities so long as
- competition is present and buyers and sellers are free to choose mutually agreeable prices.
 - prices are not allowed to rise too high, causing a shortage.
 - prices are legally kept equal in all markets, preventing unfair price increases in markets with shortages and unfair price decreases when a market surplus is present.

Survey of Econ 2018 Final (Ch 1-14)

- d. the government carefully screens producers and effectively keeps inefficient producers out of the market.
32. Which of the following is a positive effect of job search and the unemployment that often accompanies it?
- a. It keeps wages and income levels low.
 - b. It permits individuals to better match their skills and preferences with the requirements of a job.
 - c. It reduces the wage gap between high skill workers and those with few skills.
 - d. It creates political pressure for an increase in the minimum wage, which will reduce the rate of unemployment in the long run.
33. In Atlanta, tickets for professional and college football games are substitutes. An increase in the ticket price for professional football, other things being equal, will
- a. increase the demand for college football tickets.
 - b. decrease the demand for college football tickets.
 - c. not change the demand for college football tickets.
 - d. decrease the demand for professional football games.
34. For a major country with extensive capital flows, what is the effect of a decrease in interest rates?
- a. There will be an inflow of capital, a currency depreciation, and increased net exports.
 - b. There will be an inflow of capital, a currency depreciation, and reduced net exports.
 - c. There will be an outflow of capital, a currency depreciation, and increased net exports.
 - d. There will be an inflow of capital, a currency appreciation, and reduced net exports.
35. As methods of economic organization, the market and the public sector are similar in which of the following ways?
- a. Income and power are distributed equally in both sectors.
 - b. In both sectors, economic activity is undertaken only when it satisfies the criterion for economic efficiency.
 - c. In both sectors, economic exchange is completely voluntary.
 - d. Someone must cover the cost associated with the provision of scarce goods in both sectors.
36. During 2008-2013, the Fed initiated several rounds of “quantitative easing.” Under this policy, the Fed
- a. increased its purchases of financial assets and thereby injected additional reserves into the banking system.
 - b. increased its purchases of financial assets, which reduced the reserves available to the banking system.
 - c. reduced its purchases of financial assets and thereby injected additional reserves into the banking system.
 - d. reduced its purchases of financial assets and thereby reduced the quantity of reserves available to the banking system.
37. A decrease in aggregate demand and the subsequent cutbacks in production lead to
- a. frictional unemployment.
 - b. cyclical unemployment.
 - c. cost-push unemployment.
 - d. structural unemployment.
 - e. transitory unemployment.
38. Which tax rate measures the percent of your income paid in taxes?
- a. the marginal tax rate
 - b. the average tax rate

Survey of Econ 2018 Final (Ch 1-14)

- c. progressive tax coefficient
 - d. the excise tax rate
39. The Consumer Price Index compares the
- a. prices of all goods and services in the economy compared to the prices of those goods and services in a base year.
 - b. prices of consumer goods and services that a household purchases to the prices of those goods and services purchased in a base year.
 - c. prices of producer goods and services that are made for consumers to the prices of those goods and services in a base year.
 - d. prices of goods and services that are purchased by producers to the prices of those goods and services in a base year.
 - e. prices of goods and services that are purchased by consumer manufacturers to the prices of those goods and services in a base year.
40. Suppose all banks are subject to a uniform reserve requirement of 20 percent and that the Union Bank has no excess reserves. If a new customer deposits \$50,000, the bank could extend new loans up to a maximum of
- a. \$10,000.
 - b. \$40,000.
 - c. \$50,000.
 - d. \$250,000.
41. A middleman is a person who
- a. specializes in arranging trades and selling, guaranteeing, and servicing items traded.
 - b. acts as a middle person between the top management of a business firm and the hourly employees who actually produce the goods and services.
 - c. adds to the seller's expense and the buyer's buying price without providing a service to either.
 - d. levies a tax on private sector activity and uses the funds to support government activities.
42. Which of the following would a Keynesian economist be most likely to stress?
- a. Supply creates its own demand.
 - b. Businesses will not produce goods and services if they do not think people will buy them.
 - c. You cannot spend your way out of a recession.
 - d. When the unemployment rate is high, wage rates will fall.
 - e. A dollar saved is a dollar earned; a high rate of saving is the key to prosperity.
43. According to the Keynesian view, if purchasers buy more goods and services than businesses expect,
- a. the inventories of firms would decline, and the firms would expand output in order to restore their inventories to desired levels.
 - b. the inventories of firms would increase, and the firms would reduce output until inventories were cut back to the desired level.
 - c. the current level of income would persist in the future.
 - d. firms would reduce their investment, and the economy would fall into a recession.
44. The economic boom between 2002 and 2006 was primarily a result of

Survey of Econ 2018 Final (Ch 1-14)

- a. a reduction in stock prices along with rising oil prices.
 - b. a sharp reduction in the real price of resources and wages.
 - c. an increase in both housing and stock prices.
 - d. an increase in both resource prices and interest rates.
45. Suppose a country had net exports of \$7.5 billion and sold \$44.6 billion of goods and services abroad. This country had
- a. \$44.6 billion of imports and \$52.1 billion of exports.
 - b. \$52.1 billion of exports and \$44.6 billion of imports.
 - c. \$44.6 billion of imports and \$37.1 billion of exports.
 - d. \$44.6 billion of exports and \$37.1 billion of imports.
46. If fiscal policy is going to exert a stabilizing impact on the economy, it must be
- a. instituted by the Federal Reserve system.
 - b. expansionary during an economic boom but restrictive during a recession.
 - c. timed correctly.
 - d. passed by a three-fifths majority in Congress.
47. A car sells at different prices at different dealerships in a local market. If a consumer has imperfect information about the price of a car at each dealership, he should
- a. always gather all available information about prices.
 - b. gather information about prices until the expected marginal benefit of more information equals the marginal cost of gathering it.
 - c. gather information about prices only if it can be gathered without cost.
 - d. ignore information about prices because it is irrelevant to making an "optimally imperfect" decision.
48. Refrigerators, air conditioners, and other appliances are now more durable and energy efficient. If there is an increase in the price of these products, which of the following is true?
- a. Statisticians involved in the construction of price indexes will be able to fully separate the difference between improved product quality and inflation.
 - b. Statisticians involved in the construction of price indexes will not be able to fully differentiate between improved product quality and inflation.
 - c. All of the price increase reflects inflation rather than the improvement in the quality of the product.
 - d. There will be no effect on inflation.
49. If the economy is experiencing less than full-employment, the Keynesian model recommends that the government
- a. do nothing to stimulate the economy.
 - b. undertake expansionary fiscal policy to stimulate aggregate demand.
 - c. undertake expansionary fiscal policy to stimulate aggregate supply.
 - d. balance the budget to stimulate aggregate demand.
50. If a major hurricane were to destroy the sugarcane crop in Louisiana, there would be
- a. a decrease in the supply of sugarcane.
 - b. an increase in the supply of sugarcane.
 - c. a decrease in the demand for sugarcane.

Survey of Econ 2018 Final (Ch 1-14)

d. an increase in the demand for sugarcane.

51. The law of demand refers to the

- a. decrease in price that can be expected as more units of a product are demanded.
- b. increase in price that results from an increase in demand for a good of limited supply.
- c. inverse relationship between the price of a good and the quantity demanded.
- d. increase in the quantity of a good available when its price increases.

52. Which of the following tends to make the size of a shift in aggregate demand resulting from a tax change smaller than would otherwise be the case?

- a. the multiplier effect
- b. the crowding-out effect
- c. expansionary monetary policy
- d. None of the above is correct.

53. Other things being constant, countries with higher rates of saving

- a. will have smaller GDPs than countries with lower rates of saving.
- b. will have higher rates of investment, but slower growth.
- c. will have higher rates of investment and growth.
- d. will be operating at less than full employment and potential output.

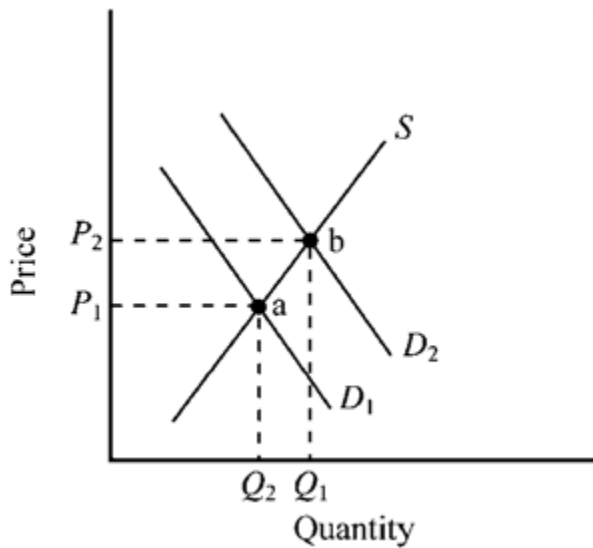
54. If a market economy was in a recession, which of the following would help direct it back toward the full employment rate of output?

- a. an increase in the rate of inflation
- b. lower resource prices and lower real interest rates
- c. higher resource prices and higher real interest rates
- d. a decrease in the natural rate of unemployment

Use the figure below to answer the following question(s).

Figure 5-3

Survey of Econ 2018 Final (Ch 1-14)



55. Figure 5-3 illustrates the market for a product that generates an external benefit. D_1 is the private market demand curve, while D_2 is the demand curve including the external benefit. Which of the following is true?
- Relative to economic efficiency, output of the good will be too large and the price too low.
 - Relative to economic efficiency, output of the good will be too large and the price too high.
 - Relative to economic efficiency, output of the good will be too small and the price too low.
 - Relative to economic efficiency, output of the good will be too small and the price too high.
56. People who receive the benefit of a good without contributing to its costs of production are called
- contributors in kind.
 - free riders.
 - frequent flyers.
 - cost maximizers.
57. When prices in the goods and services market are below the level anticipated,
- output will temporarily exceed the economy's long-run potential.
 - output will temporarily fall short of the economy's long-run potential.
 - output will be equal to the economy's long-run potential.
 - the actual rate of unemployment will be less than the natural rate of unemployment.
58. Which of the following is true of debt financing?
- Elected political officials will find debt financing attractive because it allows them to provide voters with visible current benefits while pushing the more visible costs into the future.
 - Debt financing is unattractive to elected political officials because voters recognize that excessive debt will lead to the future collapse of the economy.
 - Debt financing is attractive to elected political officials because countries with a higher debt to GDP ratio generally grow more rapidly.
 - Elected political officials will be reluctant to run budget deficits because they recognize that taxes will have to be raised in the future to pay the interest on the larger amount of outstanding debt.

Survey of Econ 2018 Final (Ch 1-14)

59. Andre decides that he would pay as much as \$3,000 for a new laptop computer. He buys the computer and realizes consumer surplus of \$700. How much did Andre pay for his computer?

- a. \$700
- b. \$2,300
- c. \$3,000
- d. \$3,700

60. If the demand for coffee makers increases,

- a. the quantity demanded will decrease.
- b. equilibrium price will increase and equilibrium quantity will decrease.
- c. equilibrium price will decrease and equilibrium quantity will increase.
- d. quantity supplied will increase.
- e. quantity supplied will decrease.